

Sona BLW Precision Forgings (SONACOMS.IN)

EV risks receding, mix improving – Upgrade to Outperform

Rating: **Outperform** (prev. Market-Perform)**Price Target:** **Rs720** (prev. Rs540)**Close:** Rs617**Upside:** ~17%**FYE:** Mar

India SMID · Automobiles · 23 June 2026 · Param Shah

We upgrade Sona BLW to Outperform with a revised target of Rs720 (from Rs540). A year ago we moved the stock to Market-Perform because its earnings had become closely tied to US EV volumes and to one large US EV customer, both of which were slowing. The EV demand backdrop has since begun to improve, and the drivers of Sona's growth have broadened. We now expect growth to be led by recovering EV volumes, by higher content per vehicle, by India two- and three-wheeler programs, by Chinese premium-EV content, and by a consolidated railway business. We raise our FY27-28 estimates above consensus and lift our target accordingly.

Our June 2025 downgrade rested on five points: US EV unit growth was slowing; US EV policy had turned less supportive; Sona's largest customer, a top US EV OEM at 15-20% of revenue, was losing share; legacy OEMs were deferring EV plans; and 77% of the order book was tied to EVs. Most of these observations were correct. But the company reduced its dependence on them faster than they could affect earnings. Two of the five concerns have now resolved, and a third has receded.

What has changed is the breadth and quality of Sona's growth, not a switch from one driver to another. EV volumes still matter, and the demand backdrop is improving. Alongside volumes, two structural themes now support earnings: rising content per vehicle, as Sona moves from individual components toward higher-value assemblies and integrated systems; and a wider spread of programs across India two- and three-wheelers, China premium EVs, and the railway business. The result is growth that depends less on any single market or customer than it did a year ago.

The stock is not cheap. It has risen about 26% over the past year and trades near its 52-week high. On trailing earnings the multiple is high, but this is distorted by the railway consolidation and one-off items. On our FY27 estimates the stock trades at about 41x forward, below its three-year average of 46x, for a business we expect to grow earnings in the mid-twenties. Our Rs720 target implies about 48x FY27 and assumes the multiple holds rather than expands.

Investment Implications

With the EV backdrop improving, the growth mix broader, customer concentration lower and our estimates above consensus, we upgrade to Outperform with a target of Rs720 (from Rs540). The main risk to the call is valuation. The main near-term risk to earnings is margin volatility from several programs ramping at once.

UPGRADE TO OUTPERFORM

We upgrade Sona to Outperform, primarily on an improving EV demand backdrop, a higher-quality growth mix, and reduced dependence on US EV volumes. We raise FY27-28 estimates above consensus, reflecting stronger content per vehicle, India 2W/3W wins, and rising China content. Our DCF-based target rises to Rs720 from Rs540, driven mainly by a higher medium-term growth assumption, a one-year roll-forward of the model, and the full-year contribution of the railway business.

EXHIBIT 1: Change in estimates

Change in estimates	Mar-26A	Mar-27E	Mar-28E
Revenue – New	47,300	58,800	71,500
Revenue – Old	45,336	53,544	64,717
Change (%)	+4.3%	+9.8%	+10.5%
EBITDA – New	12,300	15,300	18,800
EBITDA – Old	11,861	13,637	16,287
Change (%)	+3.7%	+12.2%	+15.4%
PAT – New	7,450	9,400	11,500
PAT – Old	7,287	8,159	9,952
Change (%)	+2.2%	+15.2%	+15.5%

Source: Company data (Mar-26A); Bernstein estimates. Estimates are an illustrative framework – reconcile to live model before publication.

Exhibit 2 sets out how the five concerns behind our downgrade now stand. Two have resolved, two have been mitigated, and one, US policy, remains in place but matters less because Sona is growing away from the US.

EXHIBIT 2: Status of the five concerns behind our June-2025 downgrade

Downgrade concern (Jun-25)	What we feared	Where it stands now
US EV unit growth	Slowing in Sona's key market	Improving – US YoY decline narrowing; global growth ~20%
US EV policy	Subsidy / EPA / California rollback	In place – but Sona is growing away from the US
Customer concentration	Top US EV OEM 15-20% of revenue, losing share	Resolved – a leading Indian 2W OEM is now largest EV customer
Legacy OEM EV deferrals	Order-book execution slips	Mitigated – broader base; India and China ramping
No China exposure	Cannot benefit from fastest-growing EV market	Resolved – now a content source (premium China EVs)

Source: Bernstein (prior published note, Jun-25); company management call; Bernstein analysis.

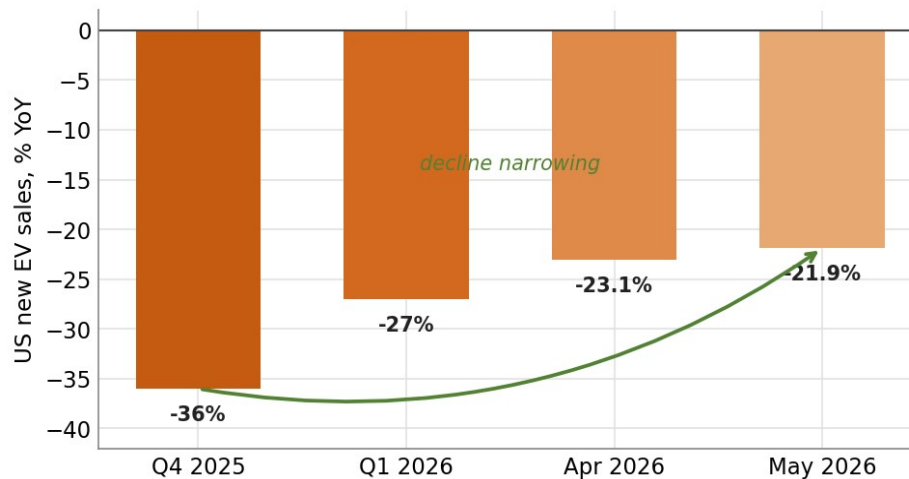
THESIS

#1 THE EV DEMAND BACKDROP IS IMPROVING

The starting point of our downgrade was a weakening EV demand backdrop. That backdrop has begun to improve, and the improvement is clearest over the last two months. In the US, new EV

sales remain below year-ago levels, but the year-on-year decline has narrowed to its smallest since incentives were withdrawn, and sequential month-on-month volumes have turned up. Higher fuel prices have renewed consumer interest in efficiency. Outside the US the picture is stronger: global EV sales continue to grow at around 20%, led by China and Europe, and management reads current demand as increasingly consumer-led rather than subsidy-led.

EXHIBIT 3: US EV sales: the year-on-year decline is narrowing (% YoY)



Source: Cox Automotive / Kelley Blue Book (US, BEV+PHEV); Bernstein analysis. Global growth ~20% YoY, led by China and Europe. Reconcile to internal monthly tracker before publication.

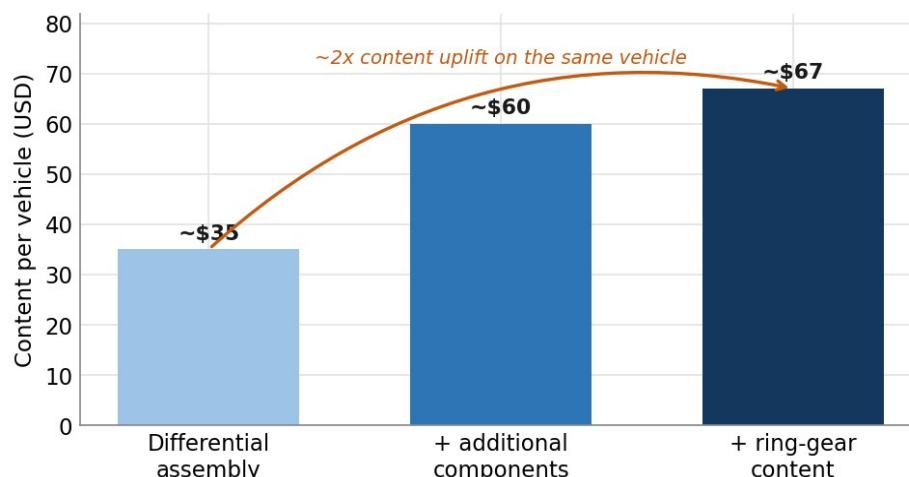
For Sona, the blended effect is favourable. Its fastest-growing exposures, India 2W/3W and China premium EVs, sit in the markets where growth is strongest, while its US exposure is stabilising rather than still deteriorating. A firmer demand backdrop also lowers the risk of order-book execution slipping, which was a specific concern in our downgrade. We would not upgrade on two months of data alone, and we are watching whether the recovery sustains, particularly in the US. But the trend has stopped working against Sona, and in its better markets it is working for it.

#2 GROWTH IS BROADER AND HIGHER-QUALITY: CONTENT PER VEHICLE AND A WIDER PROGRAM MIX

Beyond the volume recovery, the bigger change since our downgrade is in the breadth and quality of Sona's growth. Two structural themes stand out. The first is content per vehicle: Sona is moving from supplying individual components toward higher-value assemblies and integrated systems, which raises its revenue on each vehicle regardless of how many are sold. The second is diversification across programs and geographies, covered in the points that follow. Together these make growth less dependent on US EV units than a year ago, without relying on units falling away.

Content per vehicle is the clearest example of the first theme. On differential assemblies, content on some programs can move from about \$35 per vehicle for the assembly alone to about \$60 with additional components, and to \$60-70 with ring-gear content. This is close to a doubling of revenue on the same vehicle at the same volume. Differential gears, where Sona already holds about 9% of the world market, grow more slowly, at about 10-12%. The assembly, not the gear, is the growth driver.

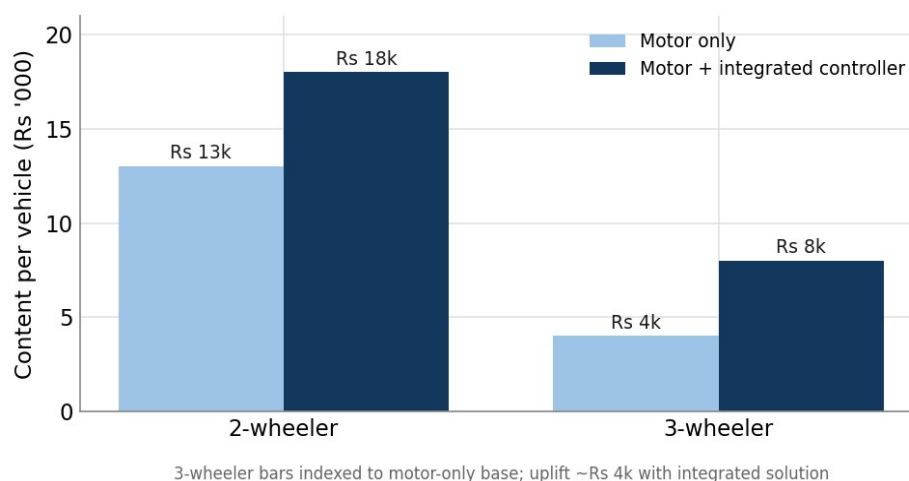
EXHIBIT 4: Differential assembly content per vehicle (US\$)



Source: Company management call (content figures management-indicated); Bernstein analysis.

The motor business shows the same pattern. A two-wheeler motor worth Rs12-14k becomes an Rs18k sale when Sona also supplies the integrated controller. In three-wheelers, the integrated solution adds about Rs4k of content. Recent electric two-wheeler platforms are the live examples. The unit ships once, but Sona's content on it rises by a third or more.

EXHIBIT 5: 2W/3W content per vehicle: motor-only versus integrated (Rs '000)



Source: Company management call (content figures management-indicated); Bernstein analysis. 3W bars indexed to a motor-only base.

These content gains are already showing in the numbers. Traction-motor revenue has grown from Rs211mn in FY22 to an estimated Rs4.5bn in FY27, the fastest-growing line in the company. Most of Sona's growth now comes from content gains on programs already won, alongside the volume recovery, rather than from US EV units alone.

EXHIBIT 6: Traction motor revenue (Rs mn)



Source: Company filings (FY22-FY27); FY28E illustrative; Bernstein analysis.

#3 CUSTOMER CONCENTRATION HAS FALLEN; THE LARGEST US EV CUSTOMER IS NO LONGER THE SWING FACTOR

At the time of our downgrade, Sona's largest customer, a top US EV OEM, accounted for 15-20% of revenue and was the main risk to our estimates. Management now indicates it is no longer relying on this customer for growth, and a leading Indian two-wheeler OEM is now the largest EV customer in the book.

This does not mean the US EV customer is growing. Its ex-China volumes are still falling, and the electric pick-up content that supported FY25 is facing lower production. The diversification is therefore partly offsetting a decline rather than adding to a flat base, and we have modelled it this way.

The structural point still holds. When one customer was over 20% of revenue, a single product cycle could move Sona's quarterly numbers. That is no longer the case. The order book is now spread across a large Indian PV/3W OEM's BEV platform, a UK luxury OEM's EV launches, a US OEM's electric pick-up program ramping from the second quarter, the leading Indian 2W OEM, a premium Chinese EV maker, and India 2W/3W programs. A business that no longer depends on one US customer warrants a higher multiple and rating than we assigned a year ago.

#4 CHINA IS NOW A SOURCE OF GROWTH, NOT A GAP

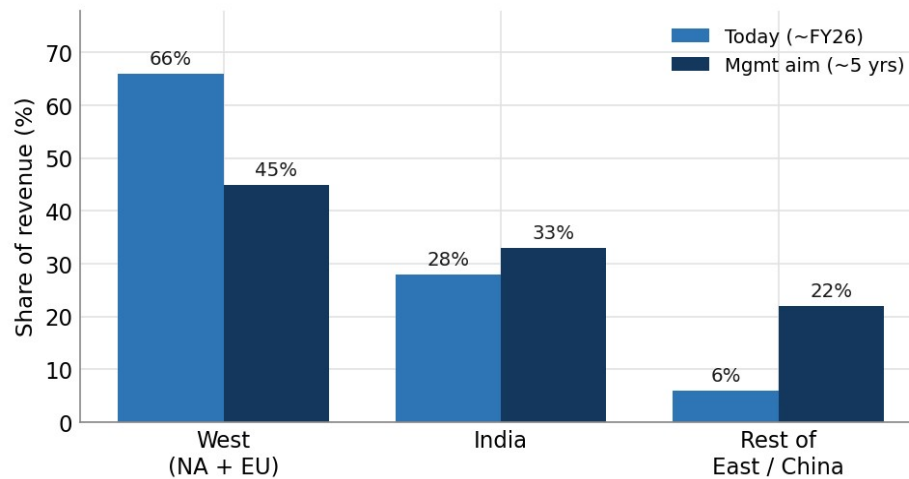
Our downgrade treated Sona's lack of China exposure as a disadvantage. Chinese brands were the fastest-growing EV segment globally and were also gaining share in Europe, and Sona did not supply them. That has changed.

Sona's main China product is the suspension motor, a high-value, differentiated part. Each premium model from one Chinese EV maker uses one suspension motor, which applies counterforce to the chassis. Sona supplies the hardware at about \$800-900, against more expensive active-suspension systems priced at about \$1,700-1,800. These parts go onto SUVs priced above \$70,000, at volumes of around 5-10k units a month. Management aims to extend this to more models from the same maker and to win other Chinese OEMs.

China carries risk as well as opportunity. Chinese OEM relationships can be price-aggressive and less stable. The premium EV maker in question is not a financially strong counterparty. The rare-earth magnet supply issue that disrupted production in 2025 also remains relevant to Sona's

motor business. On a twelve-month view, we think the content Sona is winning in China outweighs these risks, but we treat them as live and would revisit the call if the China relationship weakened.

EXHIBIT 7: Revenue base shifting from West to East (% of revenue)



Source: Company management commentary (five-year aim, management-indicated); Bernstein analysis.

#5 INDIA 2W/3W IS THE HIGHEST-QUALITY GROWTH IN THE ORDER BOOK

India two- and three-wheelers are Sona's most dependable growth area. This is where Sona is gaining share outright, in a segment electrifying faster than passenger vehicles.

At a leading Indian two-wheeler OEM, Sona is taking share from the incumbent global supplier, helped by its light-rare-earth motor technology. In three-wheelers, a large Indian OEM has moved from in-house motor manufacturing to sourcing from Sona on some platforms, and a leading Indian 2W/3W maker is expected to follow. These two OEMs together account for about half the three-wheeler market, so the wins are material. Integrated-controller content raises revenue per vehicle further.

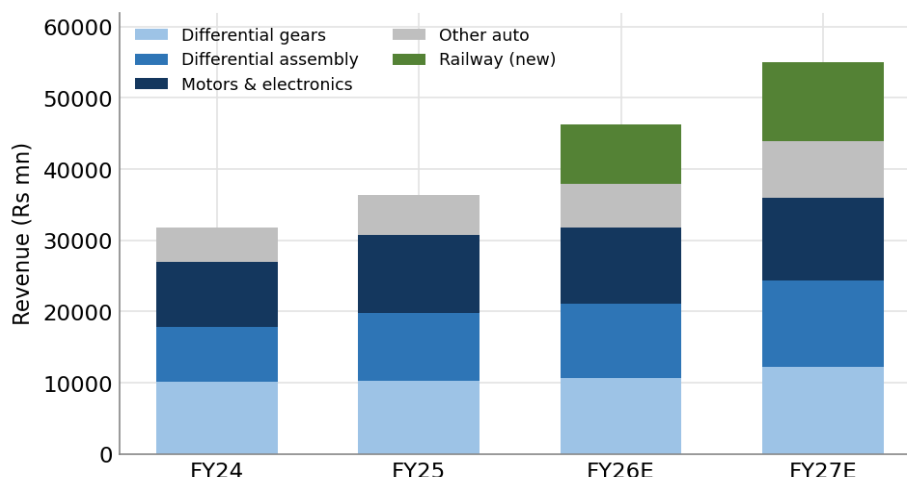
The competitive landscape supports the durability of these wins. The market-leading PV OEM is building its electric driveline through a consortium with Japanese partners; another large OEM relies on a supplier with a high share of Chinese imports; a further OEM is largely import-dependent. A domestic supplier with its own motor and controller technology and live share gains is well placed. Channel checks support this: the leading 2W OEM is running very lean dealer inventory of about two days, indicating strong demand, while another large 2W OEM's EV business is outsourced and loss-making. We would rather supply the stronger, demand-led players.

#6 THE RAILWAY BUSINESS ADDS A NON-EV, NON-US EARNINGS STREAM

The consolidation of the railway equipment business adds an earnings stream unrelated to electric cars, US policy, Chinese OEMs, or rare-earth magnets. We estimate it builds toward about Rs11bn of revenue in FY27.

This is not a high-growth business and is not the reason for the upgrade. But it diversifies the earnings base away from the cyclical, policy-sensitive auto lines that drove our 2025 view, it is largely domestic, and it adds stability to consolidated earnings.

EXHIBIT 8: Segment revenue including railway (Rs mn)



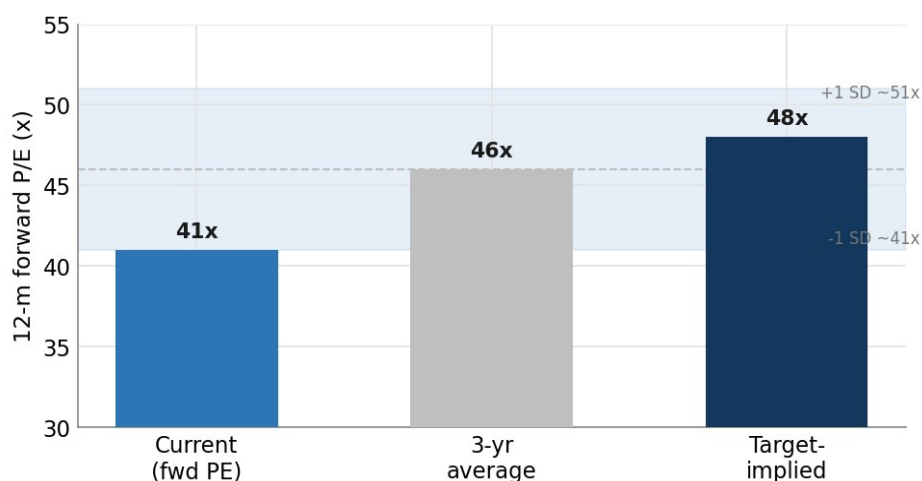
Source: Company filings; railway from FY26E on consolidation; FY27E Bernstein estimates. Motors grouped; figures illustrative of mix.

VALUATION: FULL BUT NOT STRETCHED FOR THE GROWTH

The stock is not cheap, and we are recommending it close to its 52-week high after a 26% rise over the past year. On trailing earnings the multiple is in the high-50s. We think this overstates the operating multiple, as it is affected by the railway consolidation and one-off items.

The more relevant measure is the forward multiple against growth. On our FY27 estimates, which are above consensus, the stock trades at about 41x, below its three-year average of 46x. For a company growing earnings in the mid-twenties, with an improved mix and lower customer concentration, we view this as fair to attractive.

EXHIBIT 9: 12-month forward P/E versus 3-year band (x)



Source: Bloomberg (historical band); Bernstein estimates. Forward P/E on Bernstein FY27 EPS; band stylised to the 3-year average.

Our target of Rs720 is DCF-based and assumes the forward multiple holds near its average, at about 48x FY27, rather than expanding. The increase from our previous Rs540 target comes from three sources: a higher medium-term growth assumption, a one-year roll-forward of the model, and the full-year contribution of the railway business with a slightly better mix.

EXHIBIT 10: DCF bridge: Rs540 to Rs720 (Rs/share)

Bridge to target	Rs / share
Old target (Jun-25, DCF)	540
Roll-forward one year (FY26 into base)	+55
Higher medium-term growth (22% to ~26% FY26-31E)	+95
Railway full-year + mix / margin	+30
New target (Outperform)	720

Source: Bernstein DCF (FY38 terminal year, 5% terminal growth, ~11% WACC). Illustrative framework – reconcile to live model before publication.

EXHIBIT 11: Estimates versus consensus

Rs mn (unless stated)	FY26A	FY27E new	FY27E old	FY28E new	FY28E old
Revenue	47,300	58,800	53,544	71,500	64,717
EBITDA	12,300	15,300	13,637	18,800	16,287
EBITDA margin	26.0%	26.0%	25.5%	26.3%	25.2%
PAT	7,450	9,400	8,159	11,500	9,952
EPS (Rs)	12.0	15.1	13.1	18.5	16.0
vs consensus (PAT)	—	+5%	—	+5%	—

Source: Company filings (FY26A); Bernstein estimates; Bloomberg-compiled consensus. Estimates are an illustrative framework – reconcile to live model before publication.

KEY RISKS

The main risk to our Outperform rating is valuation. At a full forward multiple, Sona has limited room for disappointment, and a broad de-rating of high-growth Indian mid-caps would affect it regardless of operating performance. The main near-term earnings risk is margin volatility from several programs ramping at once; management has indicated this can cost 200-300bps in a heavy-launch quarter, which could produce a weak quarter and a sharp share reaction. The EV demand recovery is still young, and a renewed slowdown, particularly in the US, would undercut part of the thesis. Over a longer horizon, the China content that supports part of the growth case carries geopolitical, counterparty and rare-earth-supply risk. Slower India 2W/3W electrification, or share loss in differential assemblies, are further downside risks.

DATA NOTE AND METHODOLOGY

The hard data in this note (segment revenues, order-book mix, historical financials) are drawn from company filings and presentations. EV-market figures are from public industry trackers and should be reconciled with our internal monthly data before publication. Forward-looking commentary on customers, content per vehicle, China programs and competitive positioning is sourced from a recent management call and should be read as management's characterisation, corroborated where possible against public disclosure; we have flagged in the text where a figure is an estimate rather than a reported number. Customer relationships are described generically, as specific customer names are not public. The financial estimates and the DCF bridge shown here are an analyst framework, anchored to a Rs720 DCF-based target (FY38 terminal year, 5% terminal growth, ~11% WACC), and are to be reconciled against the live model before publication. Content-per-vehicle figures are management-indicated. References to consensus use Bloomberg-compiled estimates. Share price and performance data as of 22 June 2026.